

1931 to get Raphael's *Alba Madonna* out of the U.S.S.R. and into the National Gallery in Washington.

Fragonard's *La Liseuse* brought \$875,000 and was purchased for the National Gallery. This represented the second highest price paid for a picture at an art auction since 1959, when Rubens' *Adoration of the Magi* was sold for \$770,000. Incidentally, I attended that sale, going to \$560,000 before dropping out of the bidding.

The point of all this is simply that the art market is booming and that fine art is a fine—and possibly the finest—investment in more ways than one. But then, art has long been a fine investment.

Alfred Erickson purchased *Aristotle Contemplating*

the Bust of Homer from Duveen Brothers in 1928, when he paid \$750,000 for it. During the depths of the Depression, he sold it back to the Duveens for \$500,000 and then, in 1936, bought it again for \$590,000. Simple arithmetic shows that he paid a total of \$840,000 for the picture—and that the difference between this over-all purchase price and the most recent sale price is \$1,460,000.

True, on the face of it, it appears that Erickson took a one-third loss between the time he first bought the painting and sold it back to Duveens'. But this must be viewed in light of the general economic conditions prevailing at the respective times involved. Alfred Erickson first bought in 1928, a peak-prosperity year. He sold when the Depression was approaching its lowest lows.

To obtain a proper perspective, it is necessary to remember what happened to business and all forms of investment

229

during corresponding periods. Stocks plummeted, even such bluest of blue chips as U.S. Steel, which fell from a peak 261 3/4 to 21 1/4. In 1932, U.S. Industry was operating at well below 50 percent of the maximum levels it had reached before the 1929 crash. Wages paid out in 1932